

The pattern in copper over the past fifteen years has been similar to, but slightly different from, that of 1916-1929, which preceded the last depression. While the inflationary peak of 1916 led to a drop and a two-step rise to a *lower* high in 1929, the inflationary peak of 1980 has led to a drop and a two-step rise that may end at a *higher* high. Regardless of this difference, the recessions that accompanied the two pullbacks of 1920-1921 and 1927 in the previous era correspond to the recessions that accompanied the pullbacks of 1980-1982 and 1989-1992 in the current era. In the previous era, wave B culminated in 1929, the final year of the great stock market mania and disinflationary economic recovery of the Roaring 'Twenties. The culmination of the current advance should similarly

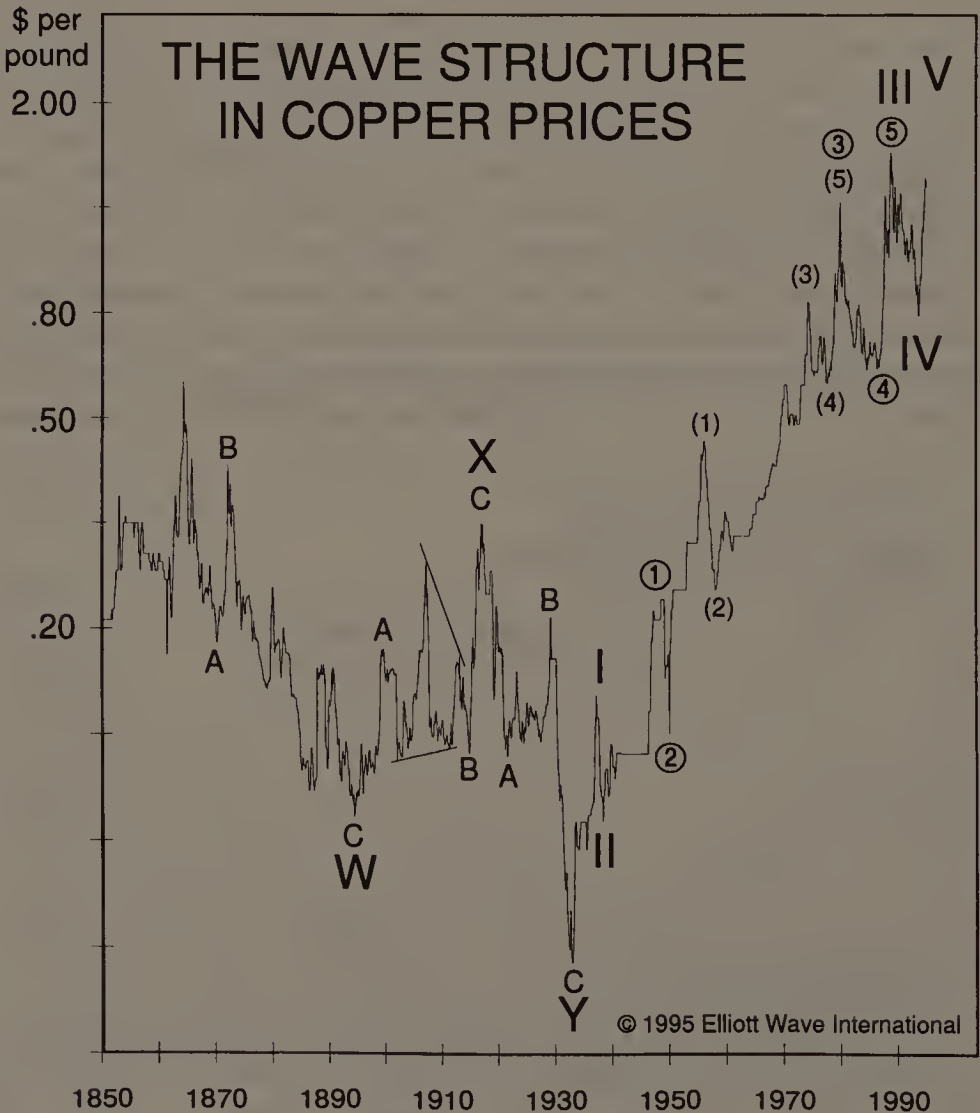


Figure 13-27